

ECONOMICS PAPER 1

(Mock Test 29)

Time allowed: 1 hour

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the ‘Time is up’ announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words ‘**END OF PAPER**’ after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong answers can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

There are 45 questions in this paper. Choose the **BEST** answer for each question.

1. Jason is planning to use the electronic consumption vouchers issued by the government for consumption. He has several options and his order of preference is as follows.

First option: to buy a mountain bike

Second option: to have a buffet dinner at a hotel

Third option: to buy a smartphone

Which of the following factors would **LEAST** likely affect the cost-benefit analysis for Jason's consumption choice?

- A. As a result of the celebrity effect, the resale price of the mountain bike increases sharply.
- B. The hotel offers discounts for buffet dinners.
- C. The functions of the smartphone are not as good as Jason expects.
- D. More freebies are given when purchasing the smartphone.

2. Refer to the following statements made by Mr. Chan and Miss Ho.

Mr. Chan: The suspension of evening dine-in services has led to an increase in takeout orders at restaurants.

Miss Ho: Measures introduced by the government's Anti-epidemic Fund are not enough to help restaurants.

_____ statement is _____ because _____.

- A. Mr. Chan's ... positive ... a value judgement is involved in the statement
- B. Mr. Chan's ... normative ... it is inconsistent with real-world data
- C. Miss Ho's ... positive ... it correctly describes the real-world situation
- D. Miss Ho's ... normative ... it is not refutable by facts

3. In the 2022-23 Budget, the financial secretary proposed continuing to strengthen community and residential care services and social work services to support the elderly, persons with disabilities and children, involving an additional annual expenditure of over \$1.9 billion. This suggestion is related to the _____ question(s) in economics.

- A. 'what to produce'
- B. 'for whom to produce'
- C. 'how to produce' and 'for whom to produce'
- D. 'what to produce' and 'for whom to produce'

4. Mr. Wong is considering the following two investments:

- (1) setting up a photography company in the form of a sole proprietorship
- (2) joining a friend's photography company as a partner

Which of the following is a possible reason for Mr. Wong deciding to set up a photography company in the form of a sole proprietorship?

- A. He can enjoy a higher degree of autonomy.
- B. He is subject to a lower profits tax rate.
- C. He does not need to use his personal assets to settle the debts of the business.
- D. He wants the business to have better continuity.

5. In April 2022, the government distributed anti-epidemic service bags to all households in Hong Kong. The bag included rapid antigen test kits, proprietary Chinese medicine, masks, etc.

These anti-epidemic service bags are _____ because they _____.

- A. private goods ... are excludable in consumption
- B. economic goods ... are goods used for final consumption
- C. free goods ... are free for the public to use
- D. capital goods ... can be used to produce other goods and services

6. Jinny runs a hair salon. Under the previous wage payment scheme, she found that her workers were inefficient and had poor service attitudes. After she adopted a new wage payment scheme, the number of customers served each day increased and fewer customer complaints about her workers were received.

The previous wage payment scheme may have been a _____ scheme and the new one may be a _____ scheme.

- A. profit-sharing ... piece rate
- B. piece rate ... profit-sharing
- C. time rate ... piece rate
- D. time rate ... basic salary plus commission

7. Firm A and firm B produce the same good. The labour supply of both firms is the same while firm A's output is twice firm B's. Which of the following is a possible reason for the difference in labour productivity between firm A and firm B?

- (1) Firm A uses time rate while firm B uses piece rate to pay their workers.
- (2) More capital goods are used in firm A.
- (3) Firm A practises a higher degree of division of labour.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

8. The table below shows the average product of a firm. Only machines and labour are used in the production.

Machines (units)	Labour (units)	Average product (units)
10	5	40
10	6	50
10	7	65
10	8	85

Which of the following statements about the above information is/are **CORRECT**?

- (1) The firm has a fixed cost.
- (2) The law of diminishing marginal returns does not apply to the firm.
- (3) The firm enjoys economies of scale.

- A. (1) only
- B. (3) only
- C. (1) and (2) only
- D. (2) and (3) only

9. Mr. Hui runs a bicycle shop selling various types of bicycles. He is considering expanding the business to spread his business risk.

Which of the following **CANNOT** achieve Mr. Hui's objective?

- A. acquiring a snack shop nearby
- B. setting up a store nearby providing a bicycle rental service
- C. setting up a cycling school for children
- D. acquiring another bicycle shop

10. The table below shows the cost-output relationship of a price taker.

Output (units)	3	4	5	6	7
Average cost (\$)	20	21	22	23	24

If the average cost of every unit of output increases by \$1 and the market price is \$27,

- (1) the profit-maximising output is 5 units.
- (2) the marginal cost of every unit of output will increase by \$1.
- (3) the maximum profit is \$20.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

11. Anson runs an indoor photography studio. In which of the following situations will Anson increase his production to maximise his profit?

- A. The hourly wage of photographers falls.
- B. The monthly rental payment for the studio decreases.
- C. The electricity fee increases.
- D. The business registration fee increases.

12. People of Country A love to eat oysters. Suppose the government of Country A imposes a per-unit tax on each kilogram of oysters. Which of the following statements is **CORRECT**?

- A. The proportion of high-quality oysters sold in Country A will increase.
- B. The total weight of oysters consumed by the people of Country A will increase.
- C. The total expenditure of the people of Country A on oysters will decrease.
- D. The average quality of oysters sold in Country A will decrease.

13. If the price of _____ decreases, the demand for _____ will increase.

- (1) air travel ... airports
- (2) construction materials ... houses
- (3) film cameras ... film

- A. (1) only
- B. (3) only
- C. (1) and (2) only
- D. (1) and (3) only

14. The following table shows the total expenditure of Kevin and Brian on online games.

Unit price (\$)	Total expenditure (\$)	
	Kevin	Brian
100	500	500
110	440	500
120	360	500
130	260	500
140	140	500

Kevin's elasticity of demand for online games is _____ while Brian's elasticity of demand for online games is _____ (without regard to its negative sign).

- A. between 0 and 1 ... 0
 - B. between 0 and 1 ... 1
 - C. greater than 1 and smaller than infinity ... 0
 - D. greater than 1 and smaller than infinity ... 1
15. When the supply of good X decreases, its price and quantity transacted change by 10% and 5% respectively. Which of the following best explains the extent of the changes in the price and quantity transacted of good X?
- A. There are many close substitutes for good X.
 - B. The expenditure on good X accounts for a small proportion of people's income.
 - C. The factors of production for good X are easily available.
 - D. A low level of technology is required to produce good X.
16. The vegetable retail market in Hong Kong is most likely an example of _____ because _____.
- A. monopolistic competition ... different retailers charge different prices
 - B. monopolistic competition ... there are many vegetable retailers in the market and their products are heterogeneous
 - C. oligopoly ... a few retailers have significantly larger market shares than the others
 - D. oligopoly ... the retailers take into account the pricing strategies of other retailers when making decisions
17. The following table shows the marginal cost schedule of a coffee producer.

Quantity (units)	Marginal cost (\$)
1	10
2	11
3	12
4	13
5	14
6	15

If the price of coffee increases from \$12 to \$13, the producer surplus will _____.

- A. increase by \$1
- B. increase by \$3
- C. decrease by \$1
- D. decrease by \$3

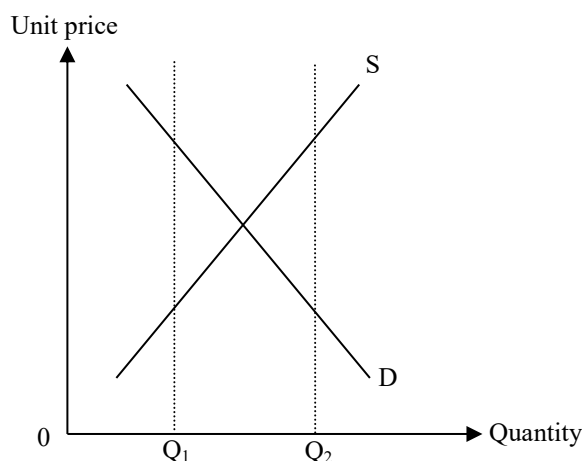
18. Refer to the following demand and supply schedules for good X.

Unit price (\$)	Quantity demanded (units)	Quantity supplied (units)
5	35	20
10	30	20
15	25	20
20	20	20
25	15	20
30	10	20

If the government sets a price floor of \$25 on good X,

- A. the producers can receive a higher total sales revenue.
- B. the sales volume will remain unchanged.
- C. the demand for good X's substitutes will increase.
- D. the consumer surplus will increase.

19. Refer to the following demand-supply diagram for good X.



If the government increases the quota from Q_1 to Q_2 , _____ will increase.

- (1) total sales revenue
- (2) producer surplus
- (3) consumer surplus
- (4) total social surplus

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (4) only
- D. (3) and (4) only

20. After the government provides a per-unit subsidy of \$3 for producers of milk, the market price of milk decreases by \$2. Which of the following statements is **CORRECT**?

- A. The producer surplus decreases.
- B. Within the range of the original and new market prices, the elasticity of demand for milk is smaller than its elasticity of supply.
- C. The ratio of producers' share of the subsidy to consumers' share of the subsidy is 3:2.
- D. The change in the total revenue including the subsidy is uncertain.

21. A shopping mall sets up decorations in common areas for the public to rest and take photos. Which of the following will most likely be a positive external effect of the shopping mall's action?
- The waiting time of people for using the washrooms in the mall increases.
 - Business of the convenience stores near the mall increases greatly.
 - Rentals of the shops in the mall increase.
 - The problem of traffic congestion near the mall worsens.
22. Which of the following can best explain why income inequality among private piano teachers tends to be larger than that among security guards?
- The market demand for private piano teachers is larger.
 - The supply of private piano teachers is more elastic.
 - Private piano teachers have a larger difference in natural abilities.
 - The average working hours of private piano teachers are shorter.
23. Which of the following may lead to an increase in aggregate output and a narrower income gap in Hong Kong at the same time?
- launching the Working Family Allowance Scheme for eligible low-income families
 - building more public housing
 - decreasing the progressivity of the salaries tax
- (1) and (2) only
 - (1) and (3) only
 - (2) and (3) only
 - (1), (2) and (3)
24. Consider the following gross domestic product (GDP) data of Country A.

Components	\$ million
Private consumption expenditure	700
Government consumption expenditure	500
Gross domestic fixed capital formation	X
Changes in inventories	-50
Net exports	100
Indirect taxes	15
Direct taxes	30
Subsidies	50
Depreciation	250

If Country A's GDP at factor cost is \$1,500 million, the value of X is _____.

- 215
- 230
- 245
- 285

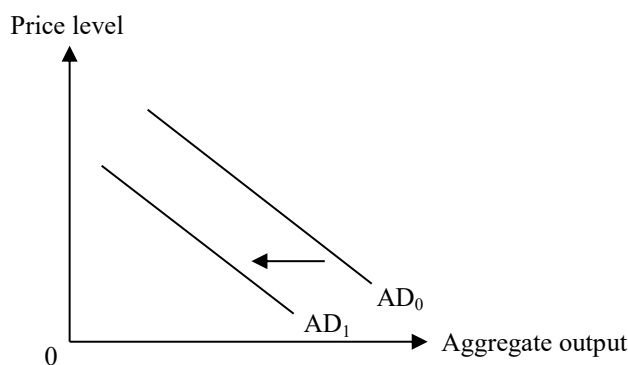
25. The following table shows gross domestic product (GDP) data of an economy in a certain year.

Change in price level	-2%
Change in population size	2.5%
Change in nominal GDP	1.2%

Based on the information above, we can conclude that in that year,

- A. both the real GDP and the per capita nominal GDP increased.
 B. both the real GDP and the per capita nominal GDP decreased.
 C. the real GDP increased and the per capita nominal GDP decreased.
 D. the real GDP decreased and the per capita nominal GDP increased.
26. Which of the following are the reasons why a country's per capita real GDP is more accurate than its nominal GDP in reflecting people's standard of living?
- (1) It considers the population size.
 (2) It considers the effect of the general price level.
 (3) It considers the effect of income distribution.
 (4) It includes the value of non-market goods and services.
- A. (1) and (2) only
 B. (3) and (4) only
 C. (1), (2) and (3) only
 D. (2), (3) and (4) only

27.

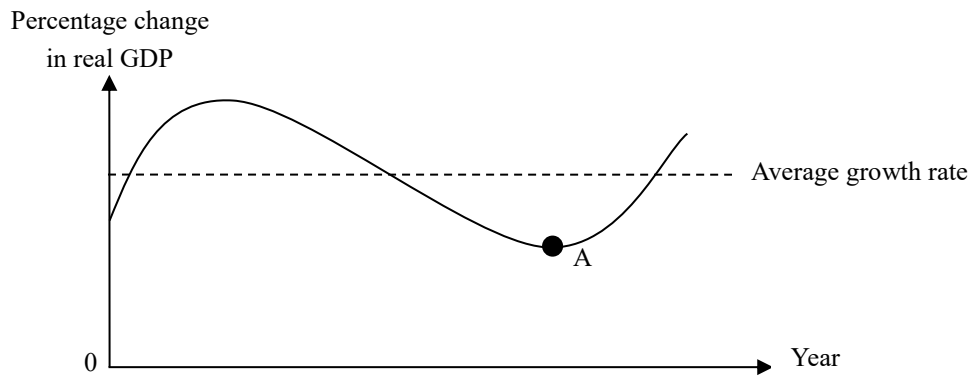


Which of the following are possible reasons for the above movement of the aggregate demand curve?

- (1) A major trading partner suffers an economic recession.
 (2) The government raises the salaries tax rate.
 (3) Firms expect the general price level to increase.
 (4) The government increases tax incentives for firms.
- A. (1) and (2) only
 B. (3) and (4) only
 C. (1), (2) and (3) only
 D. (2), (3) and (4) only

28. Country A is an importer of fuel. If _____, Country A's _____ will decrease.
- the price of fuel increases sharply ... price level in the short run
 - Country A's equipment for delivering fuel is seriously damaged ... price level in the long run
 - the fuel-exporting country imposes an embargo on fuel ... output level in the short run
 - Country A develops a substitute for fuel ... output level in the long run
29. An economy initially has an inflationary (output) gap. Which of the following would **NOT** help the economy narrow the inflationary (output) gap?
- The domestic currency appreciates.
 - The government raises the business registration fee.
 - The price of raw materials falls.
 - The government cancels the production subsidies provided to firms.
30. Which of the following deposits **CANNOT** be accepted by a restricted licence bank?
- a time deposit of HK\$100,000
 - a demand deposit of HK\$500,000 for three months
 - a negotiable certificate of deposit of HK\$600,000 for one month
- (1) only
 - (2) only
 - (1) and (2) only
 - (2) and (3) only
31. Miss Li withdraws HK\$10,000 from her time deposit account with a licensed bank. She remits HK\$3,000 overseas. Then she puts the remainder into her current account with the same bank.
- What is the immediate effect of the above actions on the Hong Kong dollar money supply?
- M1, M2 and M3 will decrease by HK\$3,000.
 - M1 will increase by HK\$7,000, while M2 and M3 will decrease by HK\$3,000.
 - M2 will decrease by HK\$10,000 and M3 will remain unchanged.
 - Both M2 and M3 will decrease by HK\$7,000.
32. A banking system adopts a fractional reserve system. Suppose the banks hold excess reserves after lending. Which of the following statements is/are **CORRECT**?
- The deposit creation ability of the banking system is not maximised.
 - The money supply will be greater than the monetary base.
 - The actual banking multiplier will be greater than the maximum banking multiplier.
- (1) only
 - (1) and (2) only
 - (1) and (3) only
 - (2) and (3) only

33. Study the following diagram.



Which of the following are phenomena that would occur at point A?

- (1) Business confidence is at a low level.
- (2) The unemployment rate is at a high level.
- (3) The volume of imports increases.
- (4) Government expenditure on transfer payments decreases.

- A. (1) and (2) only
- B. (3) and (4) only
- C. (1), (2) and (3) only
- D. (1), (3) and (4) only

34. Suppose that, in a period of inflation, the expected real interest rate of an economy is 4% and the actual real interest rate is 2%. Which of the following people will gain?

- (1) unemployed people who receive a fixed amount of unemployment assistance every month
- (2) property owners who repay fixed-rate mortgage loans
- (3) tenants who rent residential units at a fixed rental
- (4) retired people who hold inflation-linked bonds issued by the government

- A. (1) and (2) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (3) and (4) only

35. According to the quantity theory of money, when the central bank reduces the required reserve ratio,

- A. the velocity of circulation of money will decrease.
- B. the economy will experience deflation.
- C. the real output will increase.
- D. the nominal output will increase.

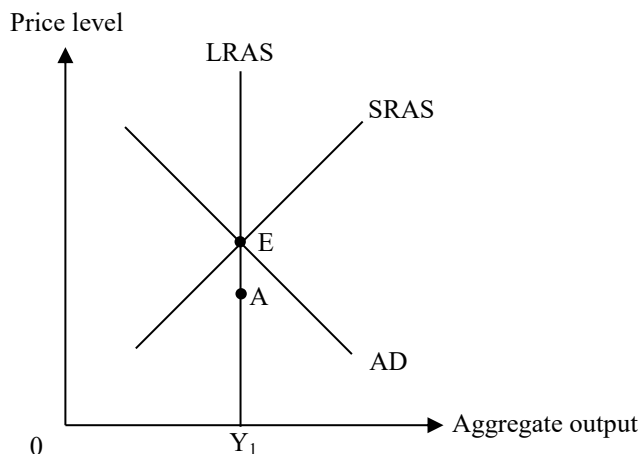
36. The money supply of an economy decreased while its monetary base remained unchanged. Which of the following could explain the above situation?
- (1) The central bank raised the discount rate.
 - (2) The central bank raised the required reserve ratio.
 - (3) The central bank sold government bonds to the public.
- A. (1) only
 - B. (2) only
 - C. (1) and (3) only
 - D. (2) and (3) only
37. Which of the following will cause the unemployment rate in Hong Kong to increase?
- A. The government reduces the assistance to the unemployed.
 - B. Some new graduates who studied abroad are recruited by Hong Kong companies and return to Hong Kong to work, and do not replace any domestic workers.
 - C. Multinational enterprises invest in Hong Kong.
 - D. The government raises the statutory minimum wage.
38. The following table shows a change in the salaries tax structure of an economy.

Average tax rate	Taxable income (\$)	
	Old bracket	New bracket
2%	Less than or equal to 50,000	Less than or equal to 60,000
5%	50,001-70,000	60,001-80,000
10%	70,001-90,000	80,001-90,000
15%	90,001-110,000	Unchanged
20%	Greater than 110,000	Unchanged

Suppose the basic tax allowance remains unchanged. Compared to the old tax structure, the new tax structure will

- (1) narrow the tax base.
 - (2) narrow the income gap between the rich and the poor.
 - (3) reduce the total tax revenue.
- A. (2) only
 - B. (1) and (2) only
 - C. (1) and (3) only
 - D. (2) and (3) only
39. Mr. Chan is a Hong Kong resident. According to the tax system of Hong Kong, which of the following incomes is/are subject to taxation?
- (1) the amount received by Mr. Chan from selling a residential unit in the Mainland
 - (2) the salary received by Mr. Chan from working in a coffee shop in Hong Kong
 - (3) the dividends received by Mr. Chan from holding shares of a Hong Kong bank
- A. (1) only
 - B. (2) only
 - C. (1) and (3) only
 - D. (2) and (3) only

40. Refer to the following diagram.



The long run equilibrium point of an economy changes from E to A. Which of the following is a possible reason for the change?

- A. The government lowers the discount rate.
- B. The government raises the import tariff.
- C. The transportation cost for raw materials decreases.
- D. People's desire to save increases.

41. Which of the following would offset the effect of lowering the required reserve ratio on aggregate output?

- A. a reduction in government transfer payments
- B. an open market purchase of government bonds
- C. a decrease in the asset demand for money
- D. an increase in production subsidies

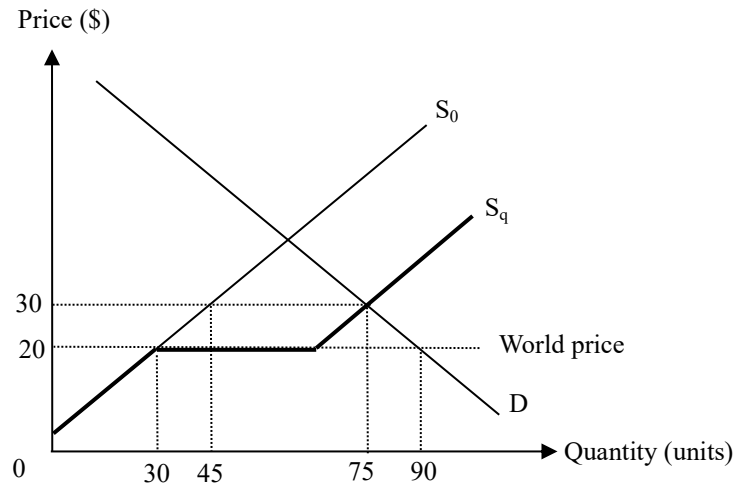
42. The following table shows the number of man-hours required to produce tomatoes and bananas in Country A and Country B.

	1 unit of tomatoes	1 unit of bananas
Country A	5 man-hours	15 man-hours
Country B	4 man-hours	20 man-hours

Suppose the banana-exporting country exports 1 unit of bananas in exchange for 4 units of tomatoes. At the same time, the banana-exporting country needs to pay 0.5 units of tomatoes in transportation costs per unit of export. What is the total gain for the banana-exporting country from exporting 10 units of bananas?

- A. 5 units of tomatoes
- B. 10 units of tomatoes
- C. 15 units of tomatoes
- D. 20 units of tomatoes

43. The diagram below shows the imposition of a quota on an imported good in a small open economy.



If the world price of the good increases to \$30,

- (1) the domestic consumption of the good will decrease by 15 units.
- (2) the revenue of domestic producers of the good will increase by \$750.
- (3) the total import value of the good will be \$900.

- A. (3) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

44. A Japanese man came to Hong Kong to work as a sushi chef in a hotel for six months. Which of the following would be included in the calculation of Hong Kong's current account balance?

- (1) the money he spent on a flight to Hong Kong on a Hong Kong airline
- (2) the money he spent on buying shares of a listed company in Hong Kong
- (3) the salary he received for his work in the hotel

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

45. The following table shows the change in the exchange rate between the US dollar (USD) and the Japanese yen (JPY).

Year X	Exchange rate
January	USD 1 = JPY 106.3
December	USD 1 = JPY 112.6

Katie exchanged USD 2,000 for JPY in January. Then she sold the sum for USD in December.

In the above transactions, Katie _____.

- A. lost about USD 112
- B. lost about USD 318
- C. gained about USD 112
- D. gained about USD 318

END OF PAPER